

Model Formulation	147
I-Star: Instantaneous Impact Equation	147
Market Impact Equation	148
Underlying Data Set	154
Parameter Estimation Techniques	157
Technique 1: Two-Step Process	157
Technique 2: Guesstimate Technique	160
Model Verification	160
CHAPTER 5 Estimating I-Star Model Parameters	163
Introduction	163
Scientific Method	163
Step 1: Ask a Question	164
Step 2: Research the Problem	164
Step 3: Construct the Hypothesis	164
Step 4: Test the Hypothesis	164
Step 5: Analyze the Data	165
Step 6: Conclusion and Communication	165
Solution Technique	166
The Question	166
Research the Problem	166
Construct the Hypothesis	171
Test the Hypothesis	173
Data Definitions	175
Universe of Stocks	176
Analysis Period	176
Time Period	176
Number of Data Points	176
Imbalance	176
Side	177
Volume	177
Turnover	177
VWAP	178
First Price	178
Average Daily Volume	178
Annualized Volatility	178
Size	179
POV Rate	179
Cost	179
Estimating Model Parameters	179